

Decision 24-01-005 January 11, 2024

BEFORE THE PUBLIC UTILITIES COMMISSION OF THE STATE OF CALIFORNIA

Joint Application Pursuant to Public Utilities Code Section 854 for Approval of Acquisition by WRA II Pioneer (S) LLC of Indirect Control of Intermountain Infrastructure Group, LLC (U7355C).

Application 23-03-004

DECISION GRANTING AUTHORITY FOR THE TRANSFER OF INDIRECT CONTROL OF INTERMOUNTAIN INFRASTRUCTURE GROUP, LLC TO WRA II PIONEER (S) LLC

Summary

Pursuant to Public Utilities Code Section 854 and Rule 3.6 of the California Public Utilities Commission (Commission) Rules of Practice and Procedure (Rules), the Commission grants authority for the transfer of indirect control of Intermountain Infrastructure Group, LLC to WRA II Pioneer (S) LLC, subject to the terms and conditions set forth in the Ordering Paragraphs.

This proceeding is closed.

1. Background

On March 6, 2023, Intermountain Infrastructure Group, LLC (Intermountain) and WRA II Pioneer (S) LLC (WRA II) (referred collectively as “Joint Applicants”), filed Application (A.) 23-03-004, a Joint Application pursuant to Public Utilities (Pub. Util.) Code Section 854 for approval of WRA’s acquisition, via indirect control, of Intermountain. On that same date, the Joint Applicants filed a motion to file Exhibits E, H, and I under seal as confidential.

On April 6, 2023, Resolution ALJ 176-3525 preliminarily determined that the category of this proceeding is ratesetting.

On April 20, 2023 (with a clarifying ruling on May 9, 2023), the assigned Administrative Law Judge (ALJ) issued a Ruling Requesting Information (Ruling), to which the Joint Applicants responded on May 1, 2023, May 16, 2023, June 29, 2023, and September 28, 2023. Joint Applicants also filed a motion on May 16, 2023 for confidential treatment of Attachment 1 to their May 16, 2023 response.

A prehearing conference (PHC) was held on May 16, 2023, to address the issues of law and fact, determine the need for hearing, set the schedule for resolving the matter, and address other matters as necessary. On May 24, 2023, the Assigned Commissioner's Scoping Memo and Ruling (Scoping Memo) was issued. All assigned Commissioner and ALJ rulings are affirmed herein.

2. Submission Date

This matter was submitted on October 4, 2023, upon receipt of all information necessary for the Commission rule on the Joint Applicant's request.

3. Parties to Transaction

Intermountain was granted its full facilities-based and resold competitive local exchange service and full facilities-based and resold interexchange service CPCN pursuant to Decision (D.) 19-02-013. Intermountain's business consists of the provision of fiber optic telecommunications infrastructure for use in connection with the transport and transmission of communications.

Intermountain provides service to business customers, government agencies, and large educational or medical institutions for use in transmitting voice and data over their own private networks formed in whole or in part using Intermountain's facilities.

WRA II, which consists of both domestic and foreign investors, is an intermediate investment holding company formed for the purpose of carrying out the proposed transaction and currently has no operations of its own. As detailed in the organization chart in Attachment A to this decision,¹ WRA II is part of a large organization. In part, WRA II is ultimately owned and controlled by Wafra, Inc. (Wafra), which is a global alternative investment manager with approximately \$31 billion of assets under management across a range of alternative assets, including real assets, real estate, and strategic partnerships. Wafra is indirectly owned, through two intermediate holding companies, by the Public Institution for Social Security (PIFSS), which is an autonomous agency of the Government of Kuwait.

4. Proposed Transaction

The Joint Applicants request authority, pursuant to Pub. Util. Code Sections 854 and Rule 3.6, for approval of the transfer of indirect control of Intermountain by WRA II. The acquisition of indirect control would result from WRA II acquiring approximately 19.8% - 21.4% of the equity interests in Intermountain Holdings LLC (Holdings). Specifically, such control will be exercised through: (1) WRA's power to elect three out of seven managers of Intermountain Holdings LLC (Holdings), which is Intermountain's direct parent; and (2) WRA's right to nominate a fourth manager, subject to approval of Holdings' two largest remaining equity holders, John Yount and PRSOF II IIG Inc.

Joint Applicants state that, following consummation of the proposed transaction: (1) Intermountain will have access to the managerial and financial

¹ See A.23-03-004 at Exhibit A, at 33.

support of WRA II and its affiliated entities, giving Intermountain the opportunity to accelerate its network deployment; and (2) WRA II will bring to Holdings, and indirectly to Intermountain, WRA II's and its affiliates' experience investing in communications infrastructure companies.

5. Jurisdiction and Standard of Review for Acquisitions/Transfers of Authority

In particular, Pub. Util. Code Section 854(a) requires Commission authorization before a public utility may “merge, acquire, or control either directly or indirectly any public utility organized and doing business in this state....”. The purpose of this and related code sections is to enable the Commission, before any transfer of public utility authority is consummated, to review the proposal and to take such action, as a condition of transfer, as the public interest may require.² Absent prior Commission approval, Pub. Util. Code Section 854(a) provides that the transaction is “void and of no effect.”

The Commission has broad discretion under Pub. Util. Code Section 854(a) to approve or reject a proposed transaction. In the current case, Pub. Util. Code Section 854(b) and (c) are not applicable because no party to the transaction has gross California revenues exceeding \$500,000,000. If necessary and appropriate, the Commission may attach conditions to approval of a transaction to protect and promote the public interest. The primary question in a transfer of control proceeding under Pub. Util. Code Section 854(a) is whether the transaction will be in the public interest. When the acquiring individual or company which does not have a CPCN seeks to acquire control of a company that possesses a CPCN, the Commission will apply the same requirements to the acquiring company as

² See San Jose Water Co. (1916) 10 CRC 56.

would be applied to an initial applicant seeking the type of CPCN held by the company being acquired.

6. CPCN Criteria

6.1. California Environmental Quality Act (CEQA)

Pursuant to the CEQA³ and Rule 2.4, the Commission acts as the designated lead agency to consider the environmental impacts of projects that are subject to the Commission's discretionary approval. Pursuant to Public Resources Code Section 21065,⁴ in part, a project under CEQA may or will cause a physical change in the environment. This application for transfer of indirect control does not involve and will not result in a physical change in the environment. Therefore, granting this application will not have an adverse impact upon the environment.⁵ Before it can construct facilities, including equipment to be installed in existing buildings or structures, Intermountain (the holder of the CPCN) must file for additional authority, and submit to any necessary CEQA review.

6.2. Financial Qualifications

To be granted a CPCN for authority to provide resold interexchange services, an applicant must demonstrate that it has a minimum of \$100,000 cash or cash equivalent, reasonably liquid and readily available to meet the firm's

³ Public Resources Code § 21000 *et seq.*

⁴ Excerpt from Public Resources Code Section 21065: "Project" means an activity which may cause either a direct physical change in the environment, or a reasonably foreseeable indirect physical change in the environment"

⁵ See A.23-03-004 at 8.

start-up expenses.⁶ In confidential financial information filed under seal as Exhibit E to the application, WRA II provided documentation that it has at least \$25,000 that is reasonably liquid and available, it has demonstrated that it has sufficient funds to meet its start-up expenses as well as any deposits, so has therefore fulfilled this requirement. WRA II's financial documentation will be subject to verification and review by the Commission for one year to ensure that such funds are available.

6.3. Technical Qualifications

To be granted a CPCN for authority to provide interexchange service, an applicant must make a reasonable showing of managerial and technical expertise in telecommunications or a related business.⁷ WRA II supplied biographical information on its management in Exhibit B to its application that demonstrates that WRA II has sufficient expertise and training to operate as a telecommunications provider. In addition to performing its own due diligence, the Commission also relies on due diligence performed by the United States Department of Justice (DOJ) as part of the Joint Applicants application before the Federal Communications Commission (FCC) regarding this transfer (WC-2385).⁸ On October 12, 2023, the FCC issued a Public Notice, stating that it had granted authority for the transfer requested in WC-2385.⁹

⁶ The financial requirement for Competitive Local Exchange Carriers (CLEC) is contained in D.13-05-035 and D.95-12-056, Appendix C. The financial requirement for Non-Dominant Interexchange Carriers (NDIEC) is contained in D.14-11-004.

⁷ D.95-12-056 at Appendix C, Rule 4.A.

⁸ FCC Docket 23-85, <https://www.fcc.gov/ecfs/search/docket-detail/23-85>.

⁹ <https://docs.fcc.gov/public/attachments/DA-23-949A1.pdf>.

Partial reliance on the FCC proceeding is necessary because the Commission does not have access to background information regarding management that resides outside of the United States.

In its application as well as in responses to an assigned ALJ ruling dated April 30, 2023, WRA II verified that no one associated with or employed by WRA II as an affiliate, officer, director, partner, or owner of more than 10 percent of WRA II, or anyone acting in a management capacity for WRA II:

held one of these positions with a company that filed for bankruptcy; (b) been personally found liable, or held one of these positions with a company that has been found liable, for fraud, dishonesty, failure to disclose, or misrepresentations to consumers or others; (c) been convicted of a felony; (d) been (to his/her knowledge) the subject of a criminal referral by judge or public agency; (e) had a telecommunications license or operating authority denied, suspended, revoked, or limited in any jurisdiction; (f) personally entered into a settlement, or held one of these positions with a company that has entered into settlement of criminal or civil claims involving violations of [Sections] 17000 *et seq.*, [Sections] 17200 *et seq.*, or [Sections] 17500 *et seq.* of the California Business & Professions Code, or of any other statute, regulation, or decisional law relating to fraud, dishonesty, failure to disclose, or misrepresentations to consumers or others; or (g) been found to have violated any statute, law, or rule pertaining to public utilities or other regulated industries; or (h) entered into any settlement agreements or made any voluntary payments or agreed to any other type of monetary forfeitures in resolution of any action by any regulatory body, agency, or attorney general.¹⁰

Also, to the best of WRA II's knowledge, neither WRA II, or any affiliate, officer, director, partner, nor owner of more than 10 percent of WRA II, or any

¹⁰ See Application, answers 8 and 9. These certifications are required by D.13-05-035, OP 14.

person acting in such capacity whether or not formally appointed, is being, or has been investigated by the Federal Communications Commission or any law enforcement or regulatory agency for failure to comply with any law, rule or order.¹¹

For the foregoing reasons, this decision finds that WRA II is in compliance with the requirements of D.13-05-035.

7. Safety Considerations

With the adoption of the *Safety Policy Statement of the California Pub. Util. Commission* on July 10, 2014, the Commission has, among other things, heightened its focus on the potential safety implications of every proceeding. The Commission considered the potential safety implications here and is satisfied that WRA II will meet the Commission's minimum safety goals and expectations because: (1) WRA II has taken steps to meet the financial requirements as set forth in this decision for a facilities-based interexchange carrier and (2) Intermountain is a public utility that is required pursuant to Pub. Util. Code Section 451 to "... furnish and maintain such adequate, efficient, just and reasonable service, instrumentalities, equipment, and facilities, including telephone facilities ... as are necessary to promote the safety, health, comfort, and convenience of its patrons, employees, and the public."

8. Discussion and Conclusion

As discussed above, the Joint Applicants meet the requirements for the Commission to grant the transfer of indirect control of Intermountain to WRA II. The transaction will: (1) provide Intermountain with access to the financial expertise of WRA II; (2) permit Intermountain to continue to provide communications solutions to its customers; (3) promote competition among

¹¹ *Ibid.*

telecommunications providers, without resulting in any adverse impact to Intermountain's customers;¹² and (4) will not be adverse to the public interest.¹³ We therefore grant the application pursuant to Pub. Util. Code Section 854(a).

9. Request to File Under Seal

On March 21, 2023, the Joint Parties filed a requesting confidential treatment of the confidential versions of Exhibits E, H, and I to A.23-03-004. This motion is filed pursuant to Rules 11.1 and 11.4, Pub. Util. Code Section 583, and General Order (GO) 66-C. Joint Parties represent that the information is sensitive, and that disclosure of the operating arrangements, proprietary business information, and financial information could place them at an unfair business disadvantage.

On May 1, 2023, Joint Applicants filed a motion requesting confidential treatment of Exhibit 1 to its response to an ALJ ruling on that same date, pursuant to Rules 11.1 and 11.4, Pub. Util. Code Section 583, and GO 66-C.

We have granted similar requests in the past and do so here, pursuant to the Ordering Paragraphs herein.

10. Waiver of Comment Period

This is an uncontested matter in which the decision grants the relief requested. Accordingly, pursuant to Pub. Util. Code § 311(g)(2) and Rule 14.6(c)(2), the otherwise applicable 30-day period for public review and comment is waived.

¹² See Response filed by Intermountain Infrastructure Group, LLC on 05/01/2023 at 8 regarding Joint Applicants meeting requirements for no reduction in competitors and no negative impact on competition.

¹³ As discussed in Section 6 above, WRA II complies with all requirements – CEQA, Financial, Technical – required for the transfer requested herein.

11. Assignment of Proceeding

Karen Douglas is the assigned Commissioner and Seaneen M. Wilson and Suman Mathews are the assigned ALJs in this proceeding.

Findings of Fact

1. Intermountain was issued a CPCN pursuant to D.19-02-013, to provide full facilities-based and resold competitive local exchange service and full facilities-based and resold interexchange service.

2. WRA II is an intermediate investment holding company formed to carry out the proposed transfer requested in A.23-03-004, and has no operations of its own.

3. A.23-03-004 was filed on March 6, 2023. The application seeks authorization to transfer indirect control of Intermountain to WRA II.

4. Pub. Util. Code Section 854(a) provides that no person or corporation shall merge, acquire, or directly or indirectly control a public utility organized and doing business in California without first securing authorization from the Commission.

5. The standard to determine if a transfer of control should be granted under Pub. Util. Code Section 854(a) is whether the transaction would be “adverse to the public interest.”

6. In a request for a transfer of control, the prospective owner must satisfy the same requirements as those imposed on the CPCN holder. The two major criteria are financial resources and managerial and technical expertise.

7. The proposed transaction will not result in any changes to the services provided by Intermountain or to rates, terms, or conditions of service.

8. The proposed transaction will not have an adverse impact on competition in the marketplace.

9. The proposed transaction will not have an adverse impact on the public interest.

10. The proposed transaction will have no physical change in the environment.

11. The proposed transaction will not have an adverse impact on safety.

12. WRA II has filed financial documents under seal showing they meet the Commission's financial requirements for a CPCN.

13. Pursuant to Rules 11.1 and 11.4, Pub. Util. Code Section 583, and GO 66-C, Joint Applicants filed two motions for leave to file confidential material contained in: (1) A.23-03-004, Exhibits E, H, and I; and (2) Attachment 1 to its May 1, 2023 response to an ALJ ruling requesting information.

14. Applicants have met the requirements for a transfer of a CPCN pursuant to Pub. Util. Code Section 854(a).

Conclusions of Law

1. The proposed transaction constitutes a change of control within the meaning of Pub. Util. Code Section 854(a).

2. Joint Applicants have met the Commission's requirements for approval of the transfer of control applicable to the proposed transaction, therefore the requested authority for transfer of indirect control of Intermountain to WRA II should be granted.

3. Intermountain should continue to be bound by the terms and conditions imposed on it when its CPCN was granted in D.19-02-013.

4. This transfer does not require CEQA review because the proposed transaction is not a project as defined by CEQA, because it will not result in a physical change in the environment.

5. The Joint Applicants' motions for leave to file confidential information contained in: (1) A.23-03-004, Exhibits E, H, and I; and (2) Attachment 1 to its May 1, 2023 response to an ALJ ruling requesting information, under seal should be granted in accordance with Ordering Paragraph 3 of this Decision.

6. This decision should be effective immediately.

O R D E R

IT IS ORDERED that:

1. The transfer of indirect control of Intermountain Infrastructure Group, LLC to WRA II Pioneer (S) LLC, is approved.

2. Intermountain Infrastructure Group, LLC shall continue to be bound by the terms and conditions imposed on it when its Certificate of Public Convenience and Necessity was granted in Decision 19-02-013.

3. The motions filed by WRA II Pioneer (S) LLC and Intermountain Infrastructure Group, LLC (Joint Applicants), for leave to file confidential information under seal, contained in: 1) Application 23-03-004, Exhibits E, H, and I; and 2) Attachment 1 to Joint Applicants May 1, 2023 response to a ruling requesting information, is granted. These documents shall remain under seal for three years after the date of this order. During this three-year period, the confidential materials shall remain under seal and not be accessible or disclosed to persons other than the Commissioners and Commission staff except on further order or ruling of the Commission, the assigned Administrative Law Judge, or the designated Law and Motion Judge at the time of such ruling. If any interested party believes it is necessary for any of this information to remain under seal longer than three years, that party shall file a new motion stating the justification

of further withholding the information from public inspection. The motion shall be filed at least 30 days before expiration of the instant order.

4. Application 23-03-004 is closed.

This order is effective today.

Dated January 11, 2024, at San Francisco, California.

ALICE REYNOLDS
President
DARCIE L. HOUCK
JOHN REYNOLDS
KAREN DOUGLAS
Commissioners

Commissioner Genevieve Shiroma being absent,
did not participate.

